

one you'll want to brag about. However, the next table will discuss failure rates, so perhaps we should wait before passing judgment.

Standard & Poor's 500 change. I computed the change in the S&P index using the dates when the wedge broke out and reached the ultimate high or low. As the table shows, the index didn't perform as well as the wedges. You might also consider that the general market helped wedge performance (a rising tide lifts all boats type thing).

Days to ultimate high or low. I compared the 39% rise in 218 days to the 13% decline in 54 days. If the velocity of the two moves were the same, the downward move should have taken 73 days. It completed the move in 54 days. In other words, the downward move is about 50% faster than the upward one.

How many change trend? This is a measure of how many wedges see price move more than 20% after the breakout. I consider values above 50% to be respectable. Upward breakouts tie the 55% average for all chart pattern types, so that's good.

Downward breakouts in bull markets struggle. The average for all chart pattern types is 28%, so wedges fall well short of that value.

Table 13.3 shows failure rates for this pattern. I counted how many patterns failed to reach a value, such as 5%. I found that 18% of patterns with upward breakouts and 35% of wedges with downward breakouts failed to see price move more than 5% after the breakout. Half (51%) couldn't jump a 25% hurdle (upward breakouts). Downward breakouts were worse with the hurdle set at 10% and seeing 55% fail to clear it.